Final Dashboard & Executive Summary

1. Introduction :

Adidas operates across multiple regions through physical retail stores and online channels. With increasing competition and rising customer expectations, customer retention has become a key strategic priority.

This project analyzes customer churn, repeat purchase behavior, loyalty engagement, promotion impact, store performance, and Customer Lifetime Value (CLV) to provide actionable recommendations for improving long-term retention.

Task 1: Data Modeling & Cleaning

1.In the first task, I began by importing all five datasets into Power BI, including Customer Demographics, Customer Transactions, Store Locations, Loyalty Program, and Churn Labelled Customers.

2.After loading the data, I used Power Query Editor to clean and transform the datasets.

3.I removed duplicate records to ensure accuracy and handled missing values wherever required.

4.I corrected incorrect data types, especially for date and numeric columns, so that calculations would work properly.

5. I then created calculated columns such as Membership Duration using the Membership Since date, and extracted Transaction Year and Transaction Month from the transaction date column.

6.Finally, I established relationships between tables using Customer_ID and Store_ID, creating a proper data model for analysis.

Membership Duration Calculation :

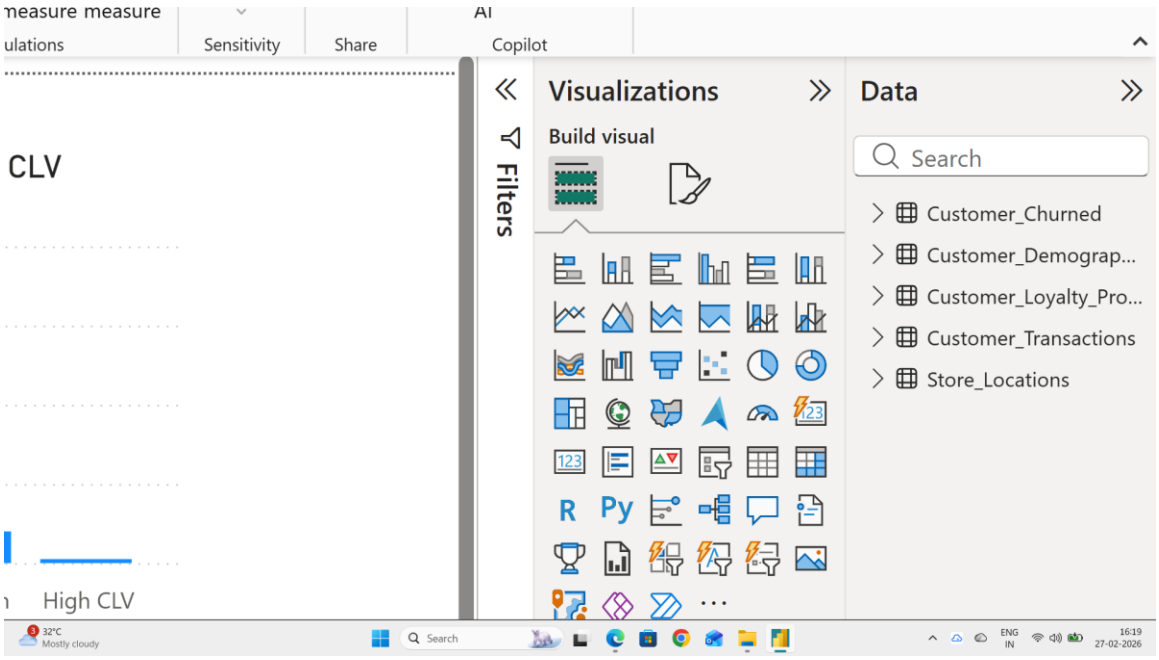
DAX Formula:

```
Membership_Duration_Days =
DATEDIFF(Customer_Demographics[Membership_Since], TODAY(), DAY)
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Explanation:

This formula calculates the total number of days a customer has been associated with Adidas since their membership start date. It helps measure customer tenure and is later used in Customer Lifetime Value (CLV) calculation.

Data model view:



Explanation:

This figure shows the relationship between Customer_Demographics, Customer_Transactions, Store_Locations, Loyalty_Program, and Customer_Churned tables.

Task 2: Churn & Retention Metrics

1.In this task, I focused on measuring customer churn and retention performance.

2.I created a Churn Rate KPI using DAX by dividing the number of churned customers by the total number of customers.

3.I then developed visualizations to analyze churn rate across different dimensions such as Region, Income Level, Preferred Channel, and Loyalty Tier.

4.To better understand the customer journey, I built a Funnel Chart showing the progression from Total Customers to Repeat Customers and finally to Churned Customers.

5.This analysis helped identify customer segments with higher churn risk and areas requiring improvement.

Churn Rate Calculation:

DAX Formula:

Churn_Rate =

DIVIDE([Churned_Customers], [Total_Customers], 0)

Explanation:

This formula calculates the percentage of customers who have stopped purchasing. It divides the number of churned customers by the total number of customers. This KPI helps measure overall customer retention performance.

Page 1 – Executive KPI Dashboard

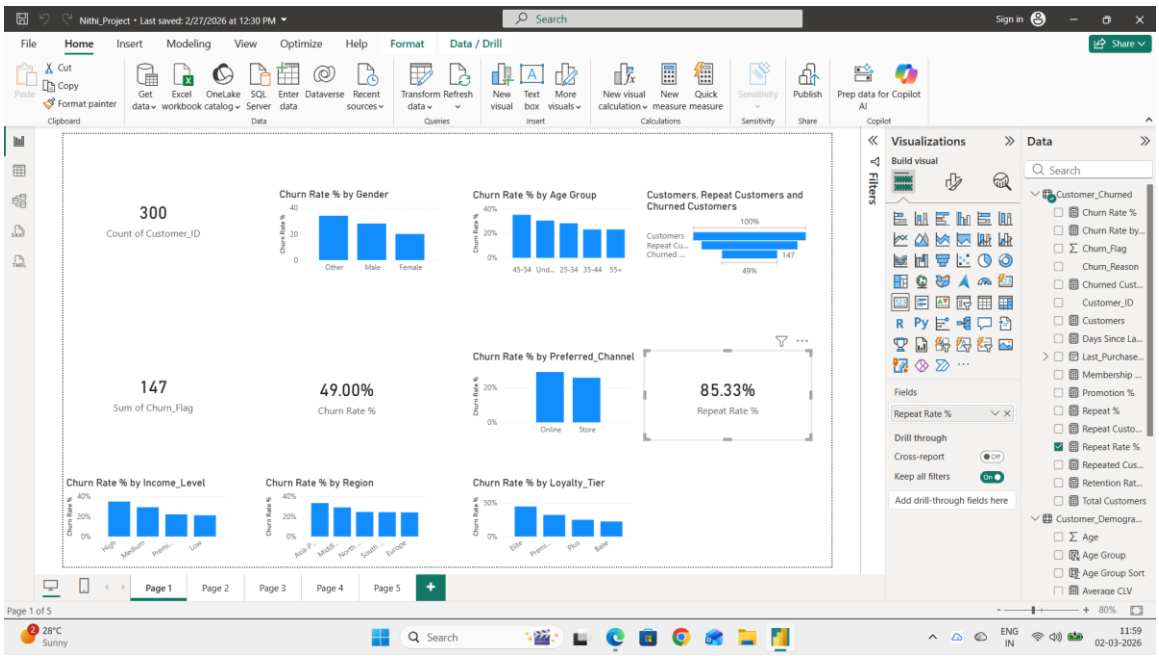


Figure 1: Executive KPI Dashboard

Key Metrics:
- Total Customers: 300
- Churned Customers: 147
- Churn Rate: 49%
- Repeat Rate: 85.33%

- Average CLV: 286.33

Analysis:
The overall churn rate of 49% indicates that nearly half of customers have become inactive. Despite a strong repeat rate, long-term retention remains a challenge.

Task 3: Repeat Purchase Analysis

1.For repeat purchase analysis, I examined customer transaction history to understand buying frequency.

2.I segmented customers into three categories based on the number of purchases: Low-Tier (0–3 purchases), Mid-Tier (4–8 purchases), and High-Tier (9 or more purchases).

3.I compared purchase frequency across different regions, age groups, and loyalty tiers to identify patterns.

4.Additionally, I analyzed which product categories were most frequently purchased by loyal customers.

5.This task helped in identifying repeat customers who contribute significantly to revenue.

Repeat Customer Percentage:

DAX Formula:

Repeat_Percentage =

DIVIDE([Repeat_Customers], [Total_Customers], 0)

Explanation :

This formula calculates the percentage of customers who made more than one purchase. It helps evaluate customer loyalty and repeat buying behavior.

Page 2 – Repeat & Promotion Impact

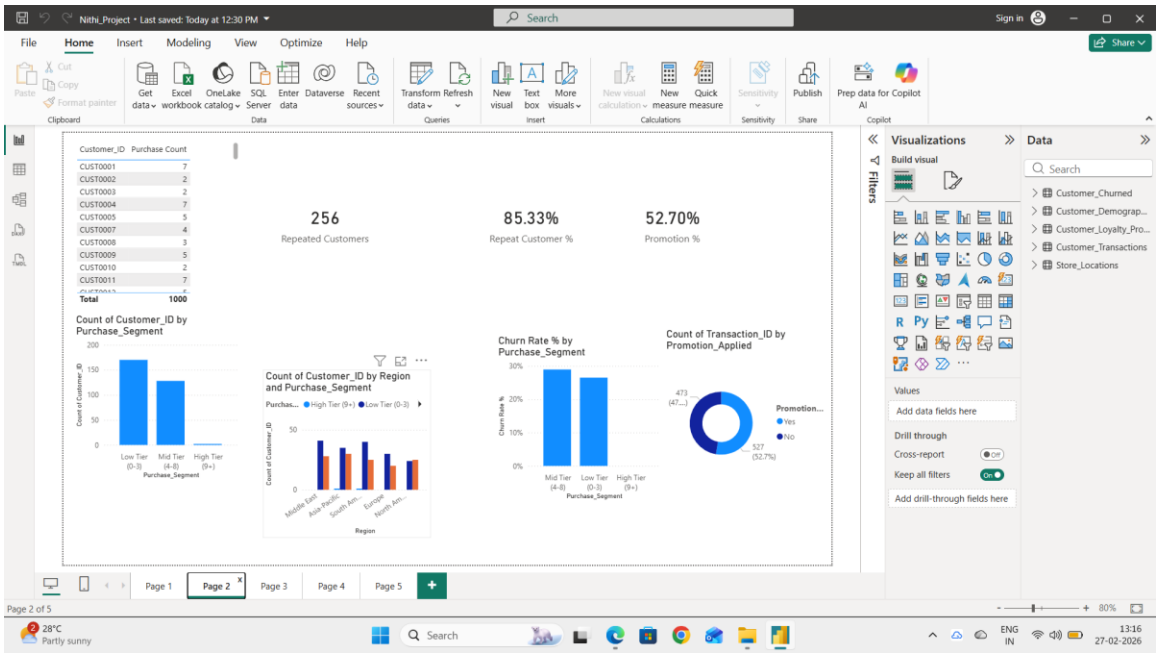


Figure 2: Repeat Purchase & Promotion Analysis

Key Findings:
- 256 repeat customers
- 52.7% transactions involve promotions
- Higher churn in Low and Mid purchase segments

Analysis:
High dependence on promotions suggests short-term sales focus rather than sustainable loyalty.

Task 4: Promotion & Loyalty Impact Analysis

1.In this task, I evaluated the impact of promotions and loyalty programs on customer retention.

2.I calculated the percentage of transactions where promotions were applied and compared the average purchase amount for transactions with and without promotions.

3.I also analyzed churn rate across different loyalty tiers to assess the effectiveness of the loyalty program.

4.Furthermore, I created a clustered column chart to compare Points Earned and Points Redeemed across loyalty tiers.

5.This helped determine whether higher engagement in the loyalty program leads to better retention.

Promotion Usage Percentage:

DAX Formula:

Promotion % =
DIVIDE(CALCULATE(COUNT(Customer_Transactions[Transaction_ID]),

Customer_Transactions[Promotion_Applied] = "Yes"),

COUNT(Customer_Transactions[Transaction_ID]))

Explanation:

This formula calculates the percentage of transactions where promotions were applied. It helps analyze whether the business relies heavily on promotional discounts to drive sales.

Page 3 – Loyalty Program & Points Engagement

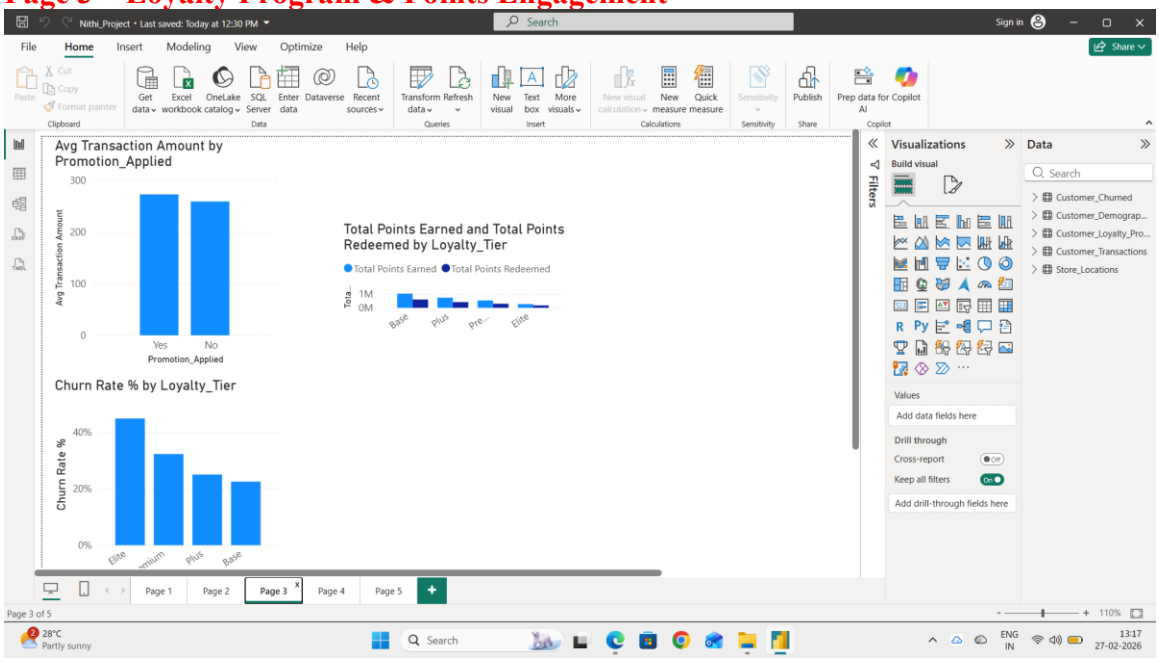


Figure 3: Loyalty Tier & Points Utilization

Key Findings:
- Elite tier shows significant churn
- Points earned exceed points redeemed

Analysis:
Loyalty program engagement needs improvement to enhance retention among premium segments.

Task 5: Store & Channel Performance Analysis:

1.In this stage, I merged the Store Locations dataset with Customer Transactions using Store_ID.

2.I calculated the average transaction amount across different store types such as Flagship, Franchise, Outlet, and Online stores.

3.I then measured churn rate by store type to evaluate performance differences.

4.I also analyzed the relationship between store opening year and customer retention to identify any correlation.

5.This analysis provided insights into how different channels and store types influence customer retention.

Page 4 – Store & Channel Insights

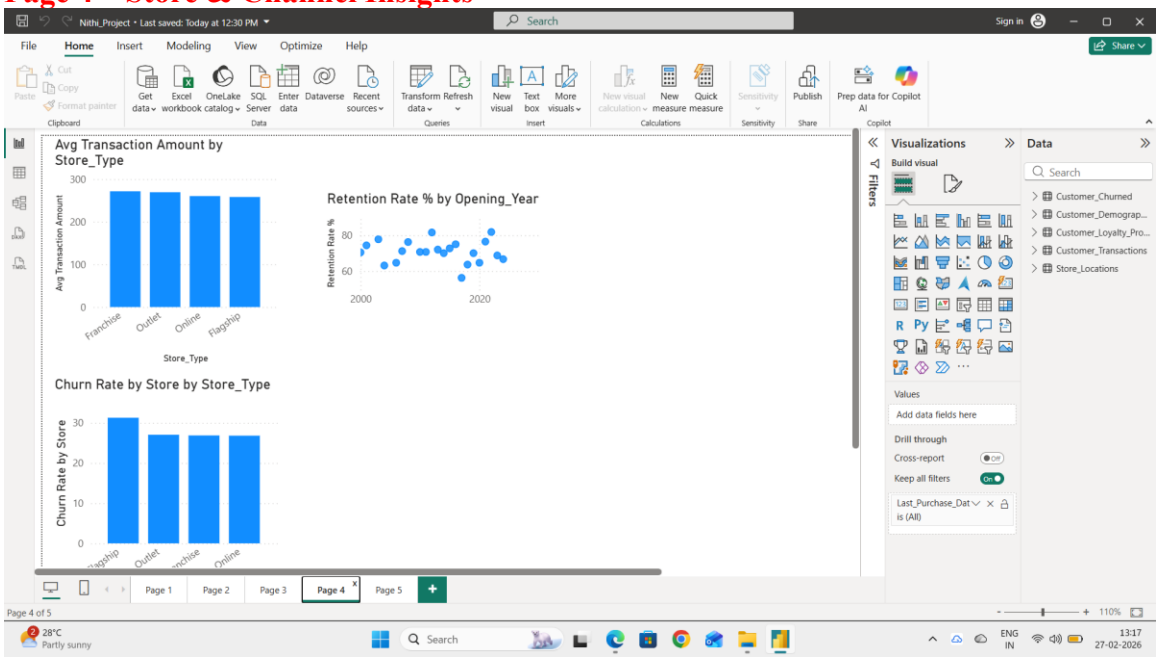


Figure 4: Store & Channel Analysis

Key Findings:
- Flagship stores show higher churn
- Online channel performs strongly but faces churn

Analysis:
Store experience and engagement strategies should be optimized to improve retention.

Higher churn in Flagship stores may indicate declining in-store engagement or lack of personalized experiences. Despite strong traffic, conversion into long-term loyalty appears weak.

Online channel churn suggests digital convenience alone is insufficient for retention without targeted loyalty incentives.

Older stores show slightly better retention, indicating established brand presence builds long-term trust. Newer outlets may require targeted onboarding campaigns.

Task 6 :Customer Lifetime Value (CLV) Analysis

1.In the sixth task, I calculated Customer Lifetime Value (CLV) using the formula Total Amount Spent divided by Membership Duration in years.

2.After creating the CLV measure, I segmented customers into Low, Medium, and High CLV groups.

3.I analyzed CLV distribution across regions and loyalty tiers to understand long-term value contribution.

4.I also created a visualization comparing CLV with Days Since Last Purchase to identify valuable but inactive customers.

5. This task helped in recognizing customers who generate the highest long-term revenue.

Customer Lifetime Value (CLV):

DAX Formula: CLV =

DIVIDE([Total_Amount],

AVERAGE(Customer_Demographics[Membership_Duration_Years]))

Explanation:
This formula calculates the average revenue generated by a customer over their membership duration. It helps identify high-value customers and supports strategic retention planning.

Page 5 – CLV & Customer Segmentation

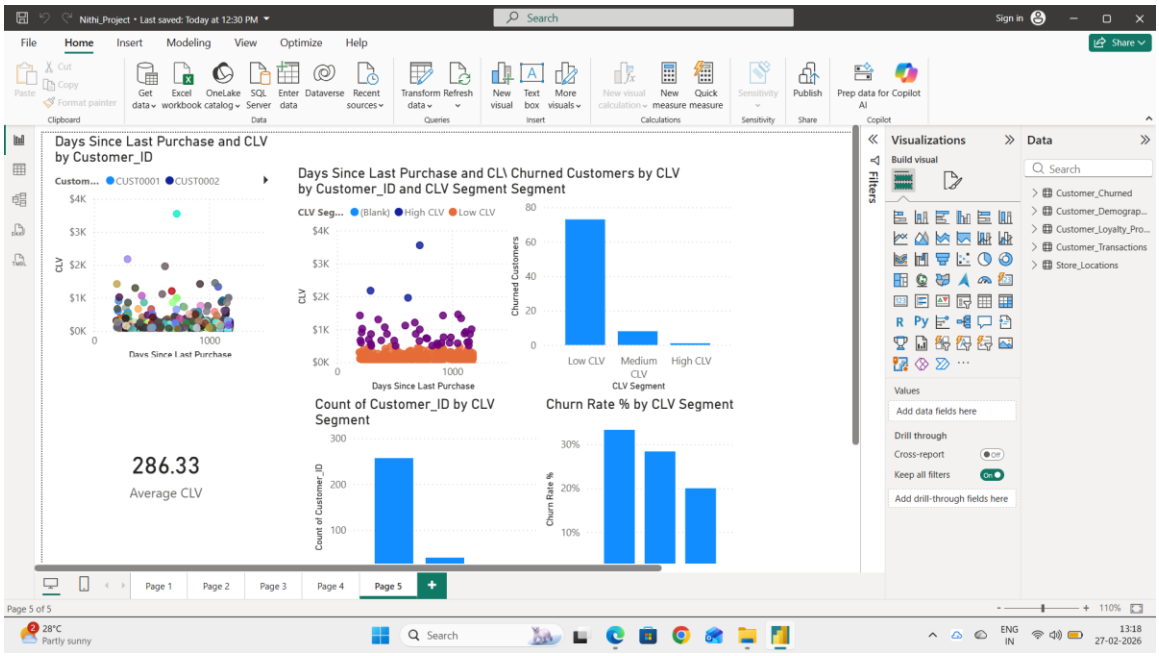


Figure 5: Customer Lifetime Value Analysis

Key Findings:
- Majority customers fall in Low CLV segment
- High CLV customers also show churn risk

Analysis:
High-value inactive customers should be prioritized to prevent revenue loss.

A significant number of High CLV customers are at churn risk. This represents potential high revenue loss and indicates the need for proactive retention strategies such as personalized offers and loyalty bonuses.

Low CLV customers may require cross-selling strategies to increase average revenue contribution.

Task 7: Final Dashboard Development

1.In the final task, I designed a multi-page interactive Power BI dashboard to present all insights in a structured format.

2.The first page included key KPIs such as Churn Rate, CLV, and Repeat Rate.

3.The second page focused on Loyalty and Promotion impact analysis. The third page presented Store and Channel performance insights.

4.The fourth page displayed customer segmentation analysis, including churned, repeat, and high-value customers

5.I added slicers for Region, Channel, Income Level, and Loyalty Tier to allow dynamic filtering.

6.The final dashboard provides actionable insights to help Adidas improve customer retention and loyalty strategies.

7. Top 3 Strategic Recommendations

- Prioritize high-value customers who have been inactive for 60+ days with targeted retention campaigns and personalized offers to reduce potential revenue loss.
- Reduce over-reliance on short-term promotions by introducing tier-based experiential rewards and value-driven engagement strategies.
- Improve loyalty program effectiveness by increasing point redemption flexibility and offering personalized rewards to strengthen long-term brand engagement.

8. Final Executive Conclusion

The analysis shows that while Adidas drives repeat purchases, long-term retention requires improvement.

Strategic focus on high-value customer engagement and loyalty enhancement can significantly improve profitability.

By shifting focus from short-term promotional gains to long-term customer value management, Adidas can significantly strengthen profitability and brand loyalty.

VIDEO EXPLINATION LINKS :

Link 1 : https://www.loom.com/share/19041836a60847b3960e47d3f65ad71c

Link 2 : https://www.loom.com/share/79303ac4ffaf4bd08e5bb0eba97bbb06

Link 3 : https://www.loom.com/share/5b2b971c1a3a4053a7e4f5060ac46f77